

but there are policies that could come in handy to help you achieve other financial goals such as building a corpus for children's education or your own retirement.

Life insurance is not just about death, it is also about a lot of milestones and events in your life before it too, such as marriage, childbirth, home ownership, retirement, work, children's education among other things. And life insurance and its death benefit can help with it all. At every stage in life, there is a policy that could help you meet your milestones.

As is evident, life insurance isn't a one-size-fits-all option. The scope of life insurance cover increases when one considers riders. Life insurance riders are additional insurance covers that one can opt for when buying a policy or sometimes at the time of a policy's renewal. Think of riders as the *chhota* (small) recharge on a prepaid mobile connection. These cost less compared to a similar insurance cover taken on an independent life insurance policy. In many ways, riders increase the scope of insurance cover and, because of their low cost, enhance the risk cover under the policy.

There are several types of life insurance riders, each with a different purpose and varied benefits. Riders can be broadly categorised as those related to accident-related death, critical illness, term insurance, waiver of premium and a few others. These are important, as they can expand the scope of the basic life insurance policy and customise it to suit your specific insurance needs. For instance, with an accident death benefit rider, for a small additional premium, you can cover your life against any accident-related death or outcome.

In the event of a death due to accident, the sum assured goes up and in cases where the accident causes any form of disability, payouts are made under the provisions of the insurance rider. One may argue that the probability of accident-related deaths and disability are low, but they cannot be ruled out given the accident rate in our country. Having an insurance cover at a marginally additional cost is worth it, especially if the insured travels extensively.

In case of a critical illness rider, on detection of the listed critical illnesses, a fixed sum as defined under the policy is paid out. The list of critical illnesses includes tumours, heart diseases, cancer etc. If you observe closely, none of these events necessarily cause death, which means the life policy continues even with the critical illness benefit being paid out. One very important rider is the Waiver of Premium Rider, under which all future premiums with respect to the base policy are waived.

Think of a situation when one meets with an accident leading to permanent disability. It is a situation that can impact future earnings potential and servicing of insurance premiums. With the waiver of premium rider, you protect the scope of the insurance cover if you meet with an accident-related disability. In the same vein, a term rider, which is nothing but a pure risk term plan in the form or a rider, can be added to a basic life policy to enhance the scope of life cover at a lower cost compared to adding the same amount of cover to even a pure term policy.

What this means is that if you have a Rs 10 lakh sum assured basic term plan costing you Rs 3,000 in annual premium, adding a term rider for Rs 10 lakh would cost you less than the additional Rs 3,000, if you had taken a Rs 20 lakh term policy. There are many other unique riders such as hospital cash benefit, under which for each day of hospitalisation, the policy pays out a fixed sum. There is also the accelerated death benefit rider, which comes in handy if the policyholder has terminal illness.

As soon as the policyholder is diagnosed with a terminal illness, the insurer pays a part of the sum assured amount in advance, which can be used for treatment. However, one should not overdo riders because they cost less. The purpose of a rider is specific and it should be considered after weighing one's circumstances and needs. Although

RE-EVALUATE THE LIFE COVER IF...

- Marital status has changed
- Family has expanded (children and grandchildren)
- Children are dependent on your finances
- Debt servicing has gone up
- Have changed jobs
- No longer have group insurance benefits
- Want to change the beneficiary on your policy